

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

ANDRE LAGE AND SHARI O'QUINN, *Claimants*

v.

OCEAN STAR INTERNATIONAL, INC., D/B/A INTERNATIONAL
VAN LINES, *Respondent*.

DOCKET NO. 2048(I)

Served: July 22, 2026

ORDER OF: Richard AMBROW, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Claimants Andre Lage and Shari O'Quinn ("Claimants") submitted a Small Claims Complaint ("Claim"), along with exhibits, that the Office of the Secretary ("OS") received on February 10, 2026. On February 13, 2026, OS served the Claim and accompanying materials on Ocean Star International, Inc., D/B/A International Van Lines ("Respondent").

In general, Claimants allege that they paid Respondent, a non-vessel operating common carrier ("NVOCC"), to have cargo shipped from the United States to Switzerland. Claimants allege that in a variety of ways, Respondent attempted to extract excessive amounts of money from Claimants by various unfair means. In particular, Claimants allege that even though the volume of their cargo was 376 cubic feet, Respondent allegedly charged Claimants for 478 cubic feet of cargo. Claimants also allege that Respondent charged them for a U.S. Customs and Border Patrol ("CBP") inspection, but Claimants allege that the CBP exam never happened. Finally, Claimants allege that Respondent represented that failure to pay disputed fees jeopardized Claimants' insurance coverage for the cargo. Claimants' Claim alleges violations of several provisions of 46 U.S.C. §§ 41102 and 41104. Claimants also seek reparations.

On March 5, 2026, Respondent submitted an email that I will treat as an Answer. In short, Respondent asserts it responded appropriately to Claimant Lage's questions, but that Claimant Lage would not accept Respondent's explanations. (*See generally* Answer).

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

Upon reviewing the facts of this case, as well as the relevant law, I find that Claimants have shown that Respondent violated 46 U.S.C. § 41104(a)(15) because Respondent gave Claimants a demurrage invoice that lacks the information required in 46 U.S.C. § 41104(d). Therefore, Claimants' obligation to pay the demurrage invoice is eliminated. (46 U.S.C. § 41104(f)). Claimants paid \$1,398.20 in demurrage charges that have been eliminated by operation of the Shipping Act. Accordingly, Claimants' Claim is **GRANTED** to the extent they have shown that they are entitled to a refund of \$1,398.20 plus interest from March 16, 2026, which is the date the time they paid the demurrage charge. (46 U.S.C. § 41305(a)).

As to the remainder of Claimants' Claim, Claimants have not carried their burden of demonstrating that Respondent otherwise violated the Shipping Act. Accordingly, the remainder of Claimants' Claim is **DENIED**.

II. BACKGROUND

Claimants submitted a Claim, along with exhibits and a timeline, that OS received on February 10, 2026. On February 13, 2026, OS served the Claim and accompanying materials on Respondent.

As originally filed, the Claim alleged that Claimants paid Respondent, an NVOCC, to have cargo shipped from the United States to Switzerland. Claimants allege that they measured the cargo as having a volume of 376 cubic feet. Allegedly, however, Respondent asserted, without corroboration, that the volume of the cargo was 478 cubic feet and incorrectly charged Claimants for the greater volume. Claimants also allege that Respondent was unable to document that Claimants' cargo was loaded into a container, or that the container was subject to an inspection by CBP. Finally, Claimants allege that Respondent represented that failure to pay disputed fees jeopardized Claimants' insurance coverage for the cargo. Claimants' Claim generally alleges violations of 46 U.S.C. §§ 41102 and 41104, though does not identify any specific violations of these sections of the Shipping Act. Claimants seek \$2,244 in reparations for "volume overbilling," \$10,358.40 for "[s]ervices not rendered," \$1,050 in "illusory/coercive" insurance premiums, and an unknown amount of CBP fees.

On March 5, 2026, Respondent submitted an email to OS and the Office of Administrative Law Judges ("OALJ"), which did not copy Claimants, that I will treat as an Answer. In short, Respondent asserts it responded appropriately to Claimants' questions, but that Claimants would not accept Respondent's explanations. (*See generally* Answer).² Among other things, the Answer asserts that Claimants own \$2,046 "for the U.S. Customs examination[.]"

In email correspondence with the OALJ on March 14, 2026, and again on March 17, 2026, Claimants alleged that they were forced to pay another \$2,046 in fees to receive their cargo, but made the payment under protest.

² Respondent also attached exhibits to its Answer. Respondent's exhibits, however, are largely duplicative of Claimants' exhibits. Therefore, in my Findings of Facts below, I cite only to Claimants' exhibits for convenience.

On March 29, 2026, in an email to OALJ, Claimants represented that the cargo was in the United Kingdom, and was scheduled to be shipped to Rotterdam on April 18, 2026, with the expectation that Claimants' cargo would be delivered to Claimants in Switzerland.

On March 30, 2026, OALJ emailed the parties (the "March 30 OALJ Email"). The March 30 OALJ Email instructed Claimants "to submit a supplemental declaration within 15 calendar days following physical delivery of the shipment to Claimant[s'] residence in Switzerland. Respondent may then also submit a response, within 15 calendar days of Claimant[s'] submission." The March 30 OALJ Email also instructed the parties to: "not submit additional information unless and until specifically requested by the Small Claims Officer."

On April 27, 2026, I was appointed to serve as the Small Claims Officer for this proceeding. I have reviewed all filings, emails, and exhibits submitted to date. Also on April 27, 2026, I issued an Order Requesting Additional Information (the "RFI"). The RFI allowed Claimants to provide additional information necessary to issue a decision in this matter within 15 days after the contents of the container were physically delivered to Claimants, the Respondent to respond within 15 days of the Claimants' submission, and Claimants seven days to reply. (RFI, at 3). The RFI also instructed the parties not to submit additional information unless specifically requested by the Small Claims Officer. (*Id.*).

On April 28, 2026, Respondent emailed OALJ, stating that Respondent assumed the case was closed, and attached copies of emails indicating that the container was scheduled to be delivered on or about April 30, 2026 (the "April 28 Email"). (*See* Email of April 28, 2026). OALJ responded later in the day indicating that the April 28 Email would be disregarded as contrary to the instructions in the RFI.

On April 30, 2026, Claimant Lage emailed OALJ to state that the container was delivered on that day, and that Claimants would submit their response to the RFI by May 15, 2026.

On May 15, 2026, Claimants filed a statement and numerous exhibits in response to the RFI (collectively, "RFI Response"). The RFI Response indicates that Claimants seek relief under 46 U.S.C. §§ 41102(b)(1),³ 41102(c), 41104(a)(1),⁴ 41104(a)(3),⁵ 41104(a)(4),⁶ 41104(a)(13),⁷

³ As discussed below, Claimants label this as being a claim under 46 U.S.C. § 41102(b)(1), though Claimants state that it is a claim for "discriminatory methods."

⁴ As discussed below, Claimants label this as being a claim under 46 U.S.C. § 41104(a)(1), though Claimants state that it is a claim for failure to establish reasonable regulations, which appears to be a reference to Section 41102(c).

⁵ As discussed below, Claimants label this as being a claim under 46 U.S.C. § 41104(a)(3), though Claimants quote 46 U.S.C. § 41102(d) (albeit imprecisely).

⁶ As discussed below, Claimants label this as being a claim under 46 U.S.C. § 41104(a)(4), though Claimants quote 46 U.S.C. § 41102(a).

⁷ As discussed below, Claimants label this as being a claim under 46 U.S.C. § 41104(a)(13), though Claimants quote the "unreasonably refuse to deal or negotiate" language from 46 U.S.C. § 41104(a)(10).

and 41104(a)(15), as well as sanctions against Respondent due to Respondent's lack of candor towards the Commission. Finally, the RFI Response requests for subpoenas to CBP, and Yang Ming Marine Transport Corp. ("Yang Ming"). (RFI Response, at 5-16).

Respondent did not file a response to the RFI.⁸

On June 9, 2026, I issued an Order Requesting Additional Information from Respondent ("First RFI to Respondent"). In particular, I asked for information regarding an invoice for \$2,046 that Respondent sent Claimants on March 12, 2026. (*See generally* First RFI to Respondent). On June 11, 2026, Respondent sent an email response to the First RFI to Respondent ("First RFI to Respondent Resp."), and, on June 22, 2026, Claimants submitted a reply ("First RFI to Respondent Reply").

Later in the day on June 22, 2026, I issued a Second Order Requesting Additional Information from Respondent ("Second RFI to Respondent"). Among other things, I asked Respondent to provide reasons why the detention charge should not be eliminated. (*See generally* Second RFI to Respondent). Respondent sent a response via email on June 23, 2026 ("Second RFI Respondent Resp."), and Claimants replied on June 24, 2026 ("Second RFI to Respondent Reply").

III. FINDINGS OF FACT

1. Claimants are individuals. (*See generally* Claim).
2. Respondent is registered with the Commission as an NVOCC. (<https://www2.fmc.gov/oti/>).
3. The record contains a document entitled Terms and Conditions of Service on Respondent's letterhead, which Claimant O'Quinn signed on October 10, 2025. (RFI Response, 33-38; *see also* Claim, at 104-09)). Among other things, the document identifies Respondent as an NVOCC, does not guarantee time of arrival of the shipment, makes Claimants responsible for charges and fees, and states that Respondent shall be indemnified for any loss incurred if the agreement is breached as a result of any claim. (RFI Response, at 34; Claim, at 105).⁹
4. The record contains an email dated September 29, 2025, from a representative of Respondent to Claimant O'Quinn attaching a moving estimate. (RFI Response, at 26-28). The estimate indicates that 200 cubic feet of cargo would cost \$5,844. The estimate also states: "Shared containers or LCL take anywhere from 8/12 weeks from when it sails and NOT from pickup, these are also approximate time frames as we have to wait to gather enough freight to ship the shared container." (RFI Response, at 27-28).

⁸ Claimant Lage emailed OALJ on June 2, 2026, asking if Respondent filed anything *ex parte*. As noted in the main text, Respondent did not.

⁹ The RFI Response contains page numbers in the lower right-hand corner of the PDF pages, which I reference. Claimants' Claim attaches exhibits, but does not include page numbers on the exhibits, thus, I cite to the Claim's PDF page.

5. In an email dated October 6, 2025, from Respondent's representative to Claimant O'Quinn, Respondent's representative indicated that insurance is optional, that insurance costs 3% of declared value, and that 250 cubic feet would be \$6,680. (RFI Response, at 24).
6. The record contains a total loss insurance policy application that was prepared on October 8, 2025, as well as an accompanying policy that indicates the date prepared as October 27, 2025, and the date packed as October 28, 2025. (RFI Response, at 41-48; Claim, at 110-19).
7. The record has a Shipping Information Form on Respondent's letterhead dated October 28, 2025, showing that the cargo is to be picked up from shipper, Claimant O'Quinn, in Arizona, and will be delivered to Switzerland. (REF Response, at 32; Claim, at 103).
8. In an email dated October 30, 2025, Claimant O'Quinn communicated to Respondent that the total volume of her cargo was 376 cubic feet, and attached a supporting spreadsheet showing the measurement of each box, as well as photos of the pile of boxes at Claimants' residence in the United States. The boxes were not on any pallets. (RFI Response, at 70-74; *see also* Claim, at 71-79, 95).
9. On October 31, 2025, Respondent's employee emailed Claimant O'Quinn stating that final volume is after palletization, and thus more than 376 cubic feet. (Claim, at 93-94).
10. The record contains two photos of boxes on pallets. (RFI Response, at 77; Claim, at 49-50).
11. The record has an arrival notice that indicates freight received on November 4, 2025, showing five pieces, with a measurement of 3,346 lbs. and 478 cubic feet. (Claim, at 52).
12. On November 7, 2025, Claimant O'Quinn emailed Respondent's employees, copying Claimant Lage, with an updated inventory list, and asked if there was a final volume and cost after palletization. (Claim, at 93). Later the same day, Respondent's employee responded acknowledging the updated inventory, and stated that Claimant O'Quinn would receive an updated invoice from accounting. (Claim, at 92-93).
13. The record has an email dated November 11, 2025, from Respondent to Claimant O'Quinn stating that payment on invoice LC4804193 for \$10,358.40 is due November 14, 2025. (Claim, at 70). Claimant O'Quinn forwarded the same to Claimant Lage on November 12, 2025. (Claim, at 70).
14. The record has an invoice issued November 11, 2025, for \$10,358, showing line items for insurance of \$1,050, initial quote of \$5,844, volume increase of an additional 278 cubic feet of \$6,116, and two separate credit card fees of \$42 and \$398.40. (RFI Response, at 29-30; Claim, at 100-01).
15. The record contains a receipt for \$9,960 (plus a \$5 convenience fee) from Claimant O'Quinn to Respondent, which is the amount of the November 11, 2025, invoice, less the \$398 credit card fee. (RFI Response, at 31; Claim, at 102).
16. There is an email dated November 13, 2025, from Claimant Lage to an employee of Respondent, attaching photographs of the unpalletized boxes, and asking how many pallets

were necessary. Claimant Lage states he measured the boxes to be shipped, and total volume was 376 cubic feet, whereas the charged amount of 478 cubic feet, which seemed like a needless a 27% volume increase. (Claim, at 69-70).

17. On November 27, 2025, Claimant O’Quinn emailed Respondent’s employees, copying Claimant Lage, asking for an estimated delivery window. (Claim, at 91-92).
18. Respondent’s employee responded on December 2, 2025, that Respondent was filling a container, and stated that the dates are subject to change. (Claim, at 90).
19. The record has an email from an employee of Respondent to an employee of Divine Trucking, LLC (“DT”), from December 12, 2025, that includes a spreadsheet to be used for the manifest that apparently identifies 12 shippers with contents in the container, along with their respective sizes, which apparently totals 2,363 cubic feet. One of them identifies the shipper as Claimant Lage, and the size is 478 “SQ”. (Claim, at 60-61).
20. Claimant O’Quinn replied to Respondent’s employees (*see* ¶ 18) on December 18, 2025, at 2:56 a.m.,¹⁰ copying Claimant Lage, stating that Claimants were told that the goods would be delivered in two-to-three months, that it has already been two months, and the cargo has not yet been shipped. (Claim, at 89-90).
21. On December 18, 2025, at 3:50 p.m., Respondent’s employee emailed Claimant O’Quinn. In brief, Respondent’s employee stated that her colleague would not have told Claimant O’Quinn that the shipment would take two-to-three months from pickup to receipt, but that it would take two-to-three months from the time the cargo sails. The email included a text box with highlighted text indicating that shared containers can take anywhere from eight-to-twelve weeks from the time it sails. The highlighted text also indicates that the Respondent needs to gather enough cargo for the shared container. (Claim, at 88-89).
22. On December 18, 2025, at 12:05 p.m.,¹¹ Claimant O’Quinn emailed Respondent’s employees, copying Claimant Lage, stating that while they were aware it would be eight-to-twelve weeks from shipment, they were told that their cargo would be loaded quickly. She expressed concern that she was never told that it would take so long, and that they could potentially be waiting indefinitely. (Claim, at 88).
23. At 6:18 p.m. on December 18, 2025, Respondent’s employee emailed Claimants, stating that she just made a booking for the container. Respondent’s employee stated that the estimated sailing date was December 28, 2025, and estimated arrival was February 8, 2025. The email identified Schmidt Global Relocation (“SGR”) as the destination agent. (Claim, at 87).

¹⁰ I put the time of an email into the Findings of Fact where there were multiple emails on the same day.

¹¹ Although most of the emails in the record identify a time, the time zone is not identified. Despite apparent inconsistencies in the times listed, such as ¶¶ 20-22 in the main text, I generally listed the facts chronologically. Where the exact chronology of a fact is not otherwise clear from the record, I expressly identify the unclarity.

24. On December 19, 2025, Respondent's employee emailed an employee of DT, asking when the container would be loaded. DT's employee responded the same day, answering "This Monday 22nd." (Claim, at 58-60).
25. The record has a house bill of lading on Respondent's letterhead dated at Los Angeles on December 22, 2025, for booking no. YCH25226464, container number of YMLU8880122, for 5 pallets of personal effects/household goods, with a measurement of 478 cubic feet, that identifies Claimant O'Quinn as the shipper, Claimant Lage as the consignee and notify party, shows the port of discharge as Southampton, and a place of delivery as Rotterdam. (Claim, at 51). The record also has an undated house bill of lading on Respondent's letterhead that is similar to the one dated December 22, 2025, except it shows that the port of discharge as Rotterdam. (Claim, at 44-45).
26. On December 23, 2025, in the morning, Respondent's employee emailed DT's employee asking for information about the container. DT's employee responded the same date with the container number YMLU8880122. (Claim, at 56-57).
27. The record contains an email from an agent of CBP to Respondent dated December 23, 2025, in the afternoon, stating that container YMLU8880122 is being held by CBP's outbound enforcement team. The email indicates that the booking is YCH25226464, commodity is HHG, destination is GB, and container no. is YMLU8880122. (RFI Response, at Ex. J, Ex. K; Claim, at 47, 53, 62).
28. On December 24, 2025, Respondent's employee emailed Claimant O'Quinn. In brief, Respondent's employee wrote that CBP placed the shipment on hold to conduct a random inspection, that there will be additional fees as a result of the inspection, and that the new estimated time of arrival was unknown. (RFI Response, at 121-22; Claim, at 31-32). Claimant O'Quinn forwarded the email to Claimant Lage the next day. (RFI Response, at 121; Claim, at 31).
29. On December 29, 2025, Claimant Lage emailed Respondent's employee, copying Claimant O'Quinn. In short, Claimant Lage asserted that the cargo was picked up on October 28, 2025, palletized and paid for on November 14, 2025, but was not booked for sailing until December 18, 2025, thereby increasing the risk for an inspection. Claimant Lage also asked for the bill of lading, details about the container, the route, the inspection, and a good-faith cost estimate. (RFI Response, at 120-21; Claim, at 30-31). Claimant Lage sent a follow-up email on January 6, 2025. (RFI Response, at 119; Claim, at 29-30).
30. On January 7, 2026, at 12:07 a.m., Respondent's employee responded to Claimant Lage's email of December 29, 2025 (*see* ¶ 29), copying Claimant O'Quinn and another one of Respondent's employees. Respondent's employee indicated that he spoke with Claimant Lage earlier in the day. Respondent's employee attached the HBL, the manifest (though information related to other clients was deleted), the CBP exam notice, and route information, though did not provide a cost estimate. (RFI Response, at 117-19; Claim, at 27-29). Regarding route information, Respondent's employee stated that it was an NVOCC, and had no control over the route the steamship company used. (RFI Response, at 118; Claim, at 28).

31. On January 7, 2026, at 2:25 p.m., Claimant Lage emailed Respondent's employees, and copied Claimant O'Quinn. Claimant Lage wrote that they remained concerned, noted the HBL lacked a date, asked for the master bill of lading, asked for confirmation that their cargo was in container YMLU8880122, asked why he and Claimant O'Quinn were identified as shipper or consignee on different documents, asked for additional information about the inspection, asked why the volume increase from the time he measured the cargo until the time it was palletized, and routing confirmation. (RFI Response, at 115-17; Claim, at 26-27).
32. On January 8, 2026, at 7:21 p.m., Respondent's employee responded to Claimant Lage's email of January 7, 2026 (*see* ¶ 31), copying Claimant O'Quinn and another one of Respondent's employees. In brief, Respondent's employee provided an updated HBL, stated that the MBL could not be provided due confidential information, attached a dock receipt and ingate ticket for the container, as well as provided information about Claimant Lage's and O'Quinn's roles, about the inspection, and about the palletization of the materials. (RFI Response, at 113-15; Claim, at 23-25).
33. On January 8, 2026, at 4:02 p.m., Claimant Lage emailed an employee of SGR asking for verification that Claimants' cargo was loaded into container YMLU8880122. (Claim, at 86-87).
34. On January 8, 2026, at 6:07 p.m., Claimant Lage emailed Respondent's employees, and copied Claimant O'Quinn. Claimant Lage wrote that he was concerned about the absence of independent, contemporaneous records that objectively link their shipment to the container. Claimant Lage noted that the HBL can be edited, there is no third-party or warehouse generated document linking their cargo to the container or verifying the cargo volume, there is no actual exam notice, and no redacted MBL. (RFI Response, at 111-13; Claim, at 21-23).
35. On January 9, 2025, SGR responded to Claimant Lage's email of January 8, 2026 (*see* ¶ 33) indicating that it would be in touch with Respondent and would respond. (Claim, at 86). Claimant Lage replied the same day, asking for pre-alert, booking confirmation, or shipment details from Respondent. (Claim, at 85-86).
36. On January 10, 2026, Respondent's employee responded to Claimant Lage's email of January 8, 2026 (*see* ¶ 34), copying Claimant O'Quinn and another one of Respondent's employees. In brief, Respondent's employee acknowledged that the MBL may be edited, provided correspondence showing that Claimants' cargo was loaded into the container, referred Claimants to the dock receipt for volume, explained the CBP notice, explained that an MBL was not yet available, and indicated that an updated invoice would be provided when available. (RFI Response, at 108-11; Claim, at 18-21).
37. On January 11, 2026, Claimant Lage emailed Respondent's employees, and copied Claimant O'Quinn. Claimant Lage wrote that the information provided, such as different versions of the manifest or the inspection notice, are inconsistent and cannot be verified. Claimant also expressed concern about the billed volume of the cargo. (RFI Response, at 106-08; Claim, at 16-18).

38. On January 12, 2026, SGR responded to Claimant Lage's email of January 9, 2026 (*see* ¶ 33), saying it received no information yet, but when the vessel departs it would get information. (Claim, at 85).
39. On January 13, 2026, at 1:50 a.m., Respondent's employee responded to Claimant Lage's email of January 11, 2026 (*see* ¶ 37), copying Claimant O'Quinn and another one of Respondent's employees, providing the contact information for CBP, explained the manifest, and indicated that the information that the Claimants wanted has already been provided. (RFI Response, at 105-06; Claim, at 15-16).
40. On January 13, 2026, at 10:23 a.m., Claimant Lage emailed Respondent's employees, and copied Claimant O'Quinn. Claimant Lage asked questions about the insurance policy, about whether the premium was received, about the claim procedure, and for confirmation that coverage and claim eligibility is independent of any fee dispute. (RFI Response, at 81; Claim, at 99). Respondent's employee responded the same day copying a colleague. (RFI Response, at 80-81; Claim, at 98-99).
41. On January 13, 2026, at 2:26 p.m., Claimant Lage emailed Respondent's employees, and copied Claimant O'Quinn. Claimant Lage wrote that he assumed Respondent was conceding that no information linking the cargo to the container, or evidencing the CBP inspection, or evidencing the volume of the cargo for billing purposes, existed. (RFI Response, at 103-04; Claim, at 13-14).
42. There is an email dated January 14, 2026, from Claimant O'Quinn, copying Claimant Lage, addressed to a CPB email address asking if the container was subject to a CPB exam, and if so, if the container was placed on hold, the type of exam, and the date of the exam. (Claim, at 68).
43. On January 15, 2026, at 5:14 a.m., Claimant Lage emailed Respondent's employees, and copied Claimant O'Quinn, referencing an insurance question, and asserting that Respondent did not respond to the email of January 13, 2026 (*see* ¶ 40). (RFI Response, at 102-03; Claim, at 12-13).
44. On January 15, 2026, at 9:32 p.m., Respondent's employee responded to Claimant Lage's email of January 15, 2026 (*see* ¶ 43), copying Claimant O'Quinn and another one of Respondent's employees, indicating that Respondent has provided all available information, and that it was awaiting the customs inspection to conclude. (RFI Response, at 102-03; Claim, at 11-12).
45. On January 16, 2026, at 6:55 p.m., Claimant Lage emailed Respondent's employees, and copied Claimant O'Quinn, asking for executive review of the file, asking for contemporaneous, independent records linking Claimants' cargo to the container, verification of the volume of the cargo, and about the customs inspection. (RFI Response, at 100-01; Claim, at 10-11).
46. Respondent's employee emailed Claimants and other employees of Respondent on January 16, 2026, at 7:24 p.m., regarding insurance (*see* ¶ 40). Respondent's employee confirmed the name of the insurer, provided the policy number, confirmed receipt of the premium, provided

information on how to file a claim, but did not understand the question about fee disputes. (RFI Response, at 79-80; Claim, at 97-98). The same day, Claimant Lage responded asking if insurance coverage is contingent on paying disputed fees. (RFI Response, at 78-79; Claim at 96-97). Respondent's employee replied on January 21, 2026, stating that while the insurer is a separate company, Respondent would inform the insurer of any disputed charges, which may jeopardize coverage. (RFI Response, at 78; *see also* Claim, at 96).

47. On January 24, 2026, at 12:47 a.m., Claimant Lage emailed the Commission's chargecomplaints@fmc.gov email address, copying Claimant O'Quinn, alleging that Respondent engaged in an unjust and non-compliant billing practice, asserting that Respondent overbilled Claimants based on the volume of the cargo, as well as for the CBP inspection, neither of which Respondent could verify, for failure to ship the cargo Claimants already paid for, and for conditioning insurance claim eligibility on payment of disputed charges. (RFI Response, at 98-99; Claim, at 41-42). Claimant Lage forwarded the same to Respondents' employee. (RFI Response, at 98; Claim, at 40-41).
48. On January 24, 2026, and 1:36 a.m., Respondent's employee emailed Claimant Lage, and copied Respondent's employees, arguing that Claimant's claim with the Commission was "absurd." (RFI Response, at 97-98; Claim, at 40). At 6:25 a.m., Claimant Lage responded, copying Claimant O'Quinn, reiterating arguments that there is a lack of independent verification supporting the claimed charges. (RFI Response, at 96-97; Claim, at 38-39). At 9:07 p.m., Respondent's employee replied, stating that documentation would be provided. (RFI Response, at 95-96; Claim, at 37-38). On January 25, 2026, Claimant Lage emailed Respondent's employees, copying Claimant O'Quinn, reiterating his position regarding lack of verification. (RFI Response, at 94-95; Claim, at 36-37). On January 27, 2026, Claimant Lage sent a follow-up email. (RFI Response, at 93; Claim, at 35-36). Respondent's employee responded, apologizing as he had a family emergency. (RFI Response, at 92-93; Claim, at 35).
49. On January 27, 2026, Respondent's employee emailed Claimants, and copied Respondent's employees, largely reiterating Respondent's previous position that Respondent had previously provided Claimants with all available information. (RFI Response, at 90-92; Claim, at 33-34).
50. On January 28, 2026, Claimant Lage emailed Respondent, copying Claimant O'Quinn, again arguing that Respondent is unable to provide substantiation of charges. (RFI Response, at 90).
51. The record contains an invoice on Yang Ming letterhead to Respondent issued February 2, 2026. The invoice identifies various charges, including demurrage from December 31, 2025, through January 21, 2026. The total charge on the invoice was \$6,991 (the "Demurrage Invoice"). (*See* Invoice TCH25226464, attached to First RFI to Respondent Resp.). The Demurrage Invoice was transmitted from the carrier to Respondent on February 3, 2026. (*See* February 3, 2026, Email from Yang Ming to Respondent, at 7:58 PM, attached to First RFI to Respondent Resp.).

52. The record has an invoice entitled Guarantee of Exam Charges dated February 4, 2026, for container YMLU8880122 for a total amount of \$3,240.50 (the “Price Transfer Invoice”). (See Price Transfer CES_GuaranteeExamCharges, attached to First RFI to Respondent Resp.).
53. The record contains a copy of a non-negotiable master bill of lading on Yang Ming letterhead with an issue date of February 16, 2026. (RFI Response, Ex. L). The master bill of lading shows Respondent as the shipper, Schmidt Global Relocations, BV, as the consignee and notify party, booking number as YCH25226464, B/L no. as YMJAT135546381, and container no. as YMLU8880122. The port of receipt and loading was Los Angeles; the port of discharge was listed as Southampton, and the place of delivery was Rotterdam. The master bill of lading shows that the container has 87 pieces, totaling 66.845 cubic meters. (*Id.*).
54. The record contains an invoice on Respondent’s letterhead that is addressed to Claimants and was issued March 12, 2026 (the “IVL Invoice”). The IVL Invoice contains the charge description as “US Customs Examination / Demurrage” and the total charge of \$2,046. It also shows that Claimants paid the IVL Invoice. The IVL Invoice, however, has no information about rates, dates the charges were incurred, or required statements. (See generally IVL Invoice, attached to First RFI to Respondent Resp.; see also RFI Response, at 63-64).
55. Claimants paid the IVL Invoice on March 16, 2026. (See RFI Response, at 65-67).
56. Respondent represents in its response to the First RFI to Respondent that the \$2,046 charge is Claimants’ proportional share of the container. Because Claimants’ cargo took up 20% of the container, they were charged 20% of the Demurrage Invoice ($6,991 \times 0.20 = 1,398.20$) and 20% the Price Transfer Invoice ($3,240.50 \times 0.20 = 648.10$) for a total of \$2,046.30 ($1,398.20 + 648.10 = 2,046.30$). (See First RFI to Respondent Resp.). To support this representation, Respondent’s response to the First RFI to Respondent includes a partially redacted spreadsheet with Schmidt Global Relocations’ letterhead, which Respondent represents is a partially redacted copy of the manifest (the “Schmidt Manifest”). (See IVL-Schmidt Manifest, attached to First RFI to Respondent Resp.). The Schmidt Manifest shows that the container had total volume of 2,362 cubic feet, of which Claimants’ cargo was 478 cubic feet, or approximately 20% ($478 \div 2,362 = 0.20237$).
57. Respondent represents that the Demurrage Invoice was not given to the Claimants because it contains charges for other clients. (See Second RFI to Respondent Resp.).
58. The record contains photos of Claimants’ boxes. The boxes have green tape with CBP’s logo on them. (RFI Response, at 125).
59. Claimants’ RFI Response includes a screenshot with Yang Ming’s logo, the heading “Container Status” for Container No. YMLU8880122, and various dates. Of relevance, it shows the container was received at the Los Angeles terminal on December 22, 2025. (RFI Response, at 83).

IV. ANALYSIS

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act.” (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 278, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502 (FMC Dec. 19, 2019); *see also* 5 U.S.C. § 556(d)).

B. Respondent Acted as an NVOCC for Purposes of This Transportation

Claimants alleges that Respondent, violated 46 U.S.C. §§ 41102(b)(1), 41102(c), 41104(a)(1), 41104(a)(3), 41104(a)(4), 41104(a)(13), and 41104(a)(15). (*See* RFI Response, at 5-16).

All of these sections require conduct by a regulated entity. Either the section requires the respondent to be a common carrier, a marine terminal operator, or an ocean transportation intermediary (“OTI”) (*see* 46 U.S.C. §§ 41102(b)(1) and (c)), or a common carrier (46 U.S.C. §§ 41104(a)(1), 41104(a)(4), 41104(a)(13), and 41104(a)(15)), though, as discussed below, the respondent must be an ocean common carrier under Section 41104(a)(3).

A non-vessel operating common carrier, or NVOCC, is both a type of common carrier, as well as an OTI, though not an ocean common carrier. (*See* 46 U.S.C. §§ 40102(17), (20)). In turn, a common carrier is defined as:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)).

There is no question that Respondent acted as the NVOCC for the shipment at issue. Respondent is registered as an NVOCC with the Commission. (*See* Findings of Fact (“FOF”), ¶ 2). Respondent issued the house bill of lading. (FOF, ¶ 25; *see also CMI Distrib. Inc. v. Service-by-Air, Inc.*, Dkt. No. 17-05, 3 F.M.C. 2d 83, 93, 2021 WL 3367603, at *11 (FMC Jul. 26, 2021) (stating that issuing a house bill of lading “is strong evidence that an entity assumed responsibility for transporting cargo[.]”). Respondent is identified as the shipper on the master bill of lading. (*See* 46 U.S.C. § 40102(17)(B) (defining an NVOCC as “a shipper in its relationship with an ocean common carrier.”). Respondent holds itself out as an NVOCC, and it clearly assumed responsibility for the transportation of Claimants’ cargo from a port in the

United States to a port overseas by means of a vessel. (FOF, ¶ 53; *see also* 46 U.S.C. § 40102(7)). Accordingly, I find that Respondent functioned as an NVOCC in this matter.

C. Claimants' Claims

Claimants Claim only generally alleges that Respondent violation Sections 41102 and 41104 of the Shipping Act, but did not specify which subsections. In its RFI Response, Claimants argued that Respondent violated several provisions of the Shipping Act, including 46 U.S.C. §§ 41102(b)(1), 41102(c), 41104(a)(1), 41104(a)(3), 41104(a)(4), 41104(a)(13), and 41104(a)(15). As discussed below, I find the claim under Section 41104(a)(15) to be meritorious, whereas I find none of the other claims to be meritorious.

i. Section 41104(a)(15) Claim

Claimants argues that Respondent violated Section 41104(a)(15), which provides: “a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not: (15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with” all applicable regulations. In turn, Section 41104(d)(2) provides:

An invoice under subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

- (A) Date that container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.

(M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

(46 U.S.C. § 41104(d)).

The Commission generally has authority to promulgate regulations to carry out its responsibilities. (46 U.S.C. § 46105(a)). As relevant here, the Commission promulgated 46 C.F.R. § 541.7, which establishes the time within which a billing party must issue a demurrage invoice:

(b) If the billing party is a non-vessel-operating common carrier, then it must issue a demurrage or detention invoice within thirty (30) calendar days from the issuance date of the demurrage or detention invoice it received. If such a billing party does not issue a demurrage or detention invoice within thirty (30) calendar days from the issuance date of the demurrage or detention invoice it received, then the billed party is not required to pay the charge.

(46 C.F.R. § 541.7(b)).

The Shipping Act provides that: "Failure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge." (46 U.S.C. § 41104(f)).

I find that the IVL Invoice violates the requirements of Section 41104(a)(15), which, as noted above, requires a detention invoice to include the information required in Section 41104(d). In turn, as noted, Section 41104(d) requires information such as the dates for which detention was charged, the rates, contact information for questions or mitigation requests, and statements that the charges are consistent with Commission rules and that the carrier's performance did not cause or contribute to the charge. Here, the IVL Invoice indicates it is, in part, for demurrage. (FOF, ¶ 54). But the IVL Invoice does not have the dates for which demurrage was charged. The IVL Invoice does not have the rates charged. The IVL Invoice does not have any statements that the charge complies with Commission rules and that the carrier's performance did not cause or contribute to the charge. Finally, the IVL Invoice does not have contact information to contest the charge. (*See generally* FOF, ¶ 54). The IVL Invoice, therefore, does not comply with the requirements of Section 41104(d), and violates Section 41104(a)(15).

Additionally, the IVL Invoice was not issued in a timely manner. The Commission's regulations related to Section 41104(d) require that if an NVOCC passes through a demurrage invoice from the carrier, it must do so within 30 days of the time the demurrage invoice is issued. (46 C.F.R. § 541.7(b)). Here, the Demurrage Invoice is dated February 2, 2026, and was emailed to Respondent on February 3, 2026. (FOF, ¶ 51). Respondent, however, did not issue a demurrage invoice to Claimants until March 12, 2026. (FOF, ¶ 54).

In the Second RFI to Respondent, I gave Respondent an opportunity to argue why the demurrage charge to Claimants should not be eliminated pursuant to Section 41104(f). (*See generally* Second RFI to Respondent). In response, Respondent argued two reasons. First, the terms of the agreement between Claimants and Respondent make Claimants responsible for all

charges. Second, Respondent's Answer (which it did not send to Claimants) indicates that Claimants owe \$2,046.30 "for the U.S. Customs examination[.]" (See Second RFI to Respondent Resp.; see also Answer). Neither argument is persuasive.

As for Respondent's former argument, I agree that the terms of the agreement between the parties make Claimants responsible for charges. (FOF, ¶ 3). But, the demurrage charge to Claimants was eliminated by operation of statute. The Shipping Act expressly provides that a carrier, such as an NVOCC, like Respondent, shall not invoice anyone for demurrage unless the demurrage charge provides the information required in Section 41104(d), and that any demurrage invoice that does not have the information required in Section 41104(d) is eliminated. (46 U.S.C. § 41104(a)(15), (d), (f)). In other words, because the IVL Invoice did not comply with statutory requirements, Claimants are not liable for the demurrage charge despite the terms of the agreement. (See *Gibson v. Formula Global Mobility*, Dkt. No. 2030(I), 2026 WL 911789, at *18 (SCO, Mar. 27, 2026) (notice not to review, Apr. 28, 2026) (quoting *Demurrage and Detention Billing Requirements*, 89 FED. REG. 14330, 14335 ("Rulemaking")) ("Further, the Commission has emphasized that 46 U.S.C. 41104(f) 'functions to void an invoice if a single required element is not included....'")).

As for Respondent's latter argument, the regulation, Section 541.7, contains no exception to the requirement that the NVOCC must issue the demurrage invoice within 30 days of the invoice being issued by the carrier. (See 46 C.F.R. § 541.7). There is no exception to the 30-day requirement if the matter is already before the Commission. Nor does the regulation provide that it is "good enough" to just give the total amount owed. In any event, Respondent did not actually send its Answer to Claimants, and the Answer said nothing about a demurrage charge; instead, the Answer describe the \$2,046.30 as a charge for the customs exam. (See Second RFI to Respondent Resp.; see also Answer). Therefore, Respondent's second argument is also unpersuasive.

Section 41104 does include a safe harbor provision. The safe harbor provides that if the NVOCC passes through a demurrage invoice and is not otherwise responsible for the charge, then the carrier shall be subject to any refunds. (See 46 U.S.C. § 41104(e)). This provision, however, does not help Respondent. The purpose of the statutory requirement to provide information along with a demurrage invoice is to: "ensure that it is clear to shippers 'what is being billed by whom' so that they can understand the charges." (*Rulemaking*, 89 FED. REG. at 14333). Here, is it not clear from the IVL Invoice "what is being billed by whom" – indeed, it is not even clear how much of the IVL Invoice amount of \$2,046.30 represents demurrage, and how much represents exam charges. Therefore, the safe harbor does not apply. (See *Gibson*, 2026 WL 911789, at *19 ("Without evidence of 'what is being billed by whom' – which is within the control of Respondent – Respondent has not established that the safe harbor provision protects Respondent from liability.")).

The record establishes that the \$2,046.30 charge was comprised of two parts. First, the exam related charge was \$648.10. Second, the demurrage related charge was \$1,398.20. (FOF, ¶ 56). Claimants paid the entire invoice on March 16, 2026. (FOF, ¶¶ 55, 56). Because the \$1,398.20 charge is eliminated by operation of Section 41104(f), Claimants overpaid Respondent \$1,398.20. Accordingly, Claimants are entitled to reparations under 46 U.S.C. § 41305(b) in the amount of \$1,398.20.

In addition, Claimants are entitled to interest from the date of the injury. (46 U.S.C. § 41305(a)). The overpayment occurred on March 16, 2026, which is the date of the actual injury. (*Gibson*, 2026 WL 911789, at *19 (“Pursuant to the Commission's rules at 46 C.F.R. § 502.253, Claimant is entitled to receive compound interest on the award beginning from November 6, 2023, the date the damages accrued.”)).

ii. Claimants’ Section 41102(c) Claim

Claimants allege that Respondent violated 46 U.S.C. § 41102(c) in several ways. That statute provides that: “[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with another person, directly or indirectly, may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property.” (46 U.S.C. § 41102(c)). By regulation, the Commission identified the following five elements of a claim under § 41102(c):

- (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

The central element of a Section 41102(c) claim is whether the practice was unjust and unreasonable. The benchmark test for whether a practice is reasonable that “the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” (*W. Gulf Mar. Ass’n v. Port of Hous. Auth.*, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978), *aff’d without opinion sub nom. W. Gulf Mar. Ass’n. v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), cert. denied, 449 U.S. 822 (1980)).

Claimants allege that Respondent engaged in several unjust and unreasonable practices. First, Claimants allege that based on a “forensic analysis,” some of the documents in the record, such as the CBP communications, appear to have been fabricated by Respondent. (RFI Response, at 5). Second, Respondent allegedly tricked Claimants by offering a low rate to transport cargo, but overcharged Claimants both by excessive palletization, as well as higher rates. (RFI Response, at 5-6). Third, Respondent allegedly engaged in insurance coercion. (RFI Response, at 6). Fourth, Respondent’s contract was allegedly usurious under state law. (RFI Response, at 6). Addressing each allegation in turn, I find that Claimants have not carried their burden of proving unreasonable conduct by Respondent.

Claimants first allege that Respondent falsified documents, as is shown by a “forensic analysis,” and asserts that the metadata in the document has evidence that the document was altered by Respondent. (RFI Response, at 5, 68-69). In general, an analysis of metadata would be the realm of expert testimony. (*DropzoneMS, LLC v. Cockayne*, Case No. 3:16-cv-cv02348-YY, 2019 WL 763078, at *7-8 (D. Ore. Sept. 12, 2019) (findings and recommendation adopted 2020 WL 591353 (D. Ore. Feb. 6, 2020)). Nothing in the record qualifies either Claimant as an expert

in reading metadata. Regardless, I find that the evidence shows that it is more likely than not that a CBP inspection did occur. The record contains communications from third parties confirming the examination occurred. (FOF, ¶¶ 27, 52). Indeed, Respondent's boxes had CBP tape on them when they arrived in Switzerland, suggesting that CBP worked with the boxes. (FOF, ¶ 58). Finally, even if Respondent's employee edited the CBP notice before forwarding it to Claimants, it is not clear that it would be unjust and unreasonable for Respondent to have done so. For example, if the CBP notice revealed the identity of others who had their cargo in the container, it may have been appropriate for Respondent to edit the CBP notice before forwarding it.

Second, Claimants repeatedly assert that Respondent charged too much because Respondent inflated the volume of Claimants' cargo. While I accept Claimants' assertion that they measured the cargo at 376 cubic feet, Respondent's employee told Claimants that the final volume will be larger due to the palletization. (FOF, ¶ 9). Indeed, the record contains photos of two containers on pallets, showing that the pallets themselves, as well as other packaging, increased the volume of the containers. (FOF, ¶ 10). Claimants assert that there is no objective, third party corroborating the size of the cargo after palletization. That is not correct. The Schmidt Manifest corroborates the size. (FOF ¶ 56).

Claimants also argue that the rate increased when volume increased. That is not correct. The original quote was for 200 cubic feet for \$5,844, which is \$29.22 per cubic foot. The actual charge was \$5,844 for 200 cubic feet, and \$6,116 for the next 278 cubic feet. (FOF, ¶ 14). The rate for the additional 278 cubic feet was \$22 per cubic foot.

Third, Claimants assert that Respondent engaged in insurance coercion. Claimants asked Respondent's employee if they would lose their insurance coverage if they disputed any non-insurance related charged. (FOF, ¶ 40). Respondent's employee stated that the insurer is a different company, but Respondent would report the dispute the insurer, which could jeopardize coverage. (FOF, ¶ 46). While, I appreciate that Claimants may not have liked the response from Respondent's employee, I do not find it to be an unreasonable answer. I have no reason to doubt that the Respondent is a different company than the insurance carrier. Further, nothing shows that Respondent's employee is an expert at reading insurance policies, and, in any event, Respondent's employee only said that a dispute could endanger the coverage. Finally, the insurance policy is in the record, and nothing prevented Claimants from reading it themselves.

Fourth, Claimants argue that Respondent's invoices contain a late payment fee of 2% per day, which is usurious under Florida state law. (RFI Response, at 63-64; *see also* Claim, at 100-01). In general, state law matters are outside Commission jurisdiction. (*See, e.g., Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at *14-15 (FMC Oct. 31, 2000)). Regardless, a late payment fee charged to encourage timely payment of an invoice is not necessarily either unreasonable or usurious. (*See, e.g., Atlas Pools of the Palm Beaches, Inc. v. P.V. Construction Corp.*, 455 So.2d 1120, 1121 (Fla. 4th DCA 1984)). Indeed, analogously, demurrage and detention charges are late fees imposed to incentivize freight fluidity, and can be reasonable. In any event, Claimants paid their bills in this case timely, and thus this provision never became an issue.

For these reasons, I find that Claimants have not carried their burden of demonstrating unreasonable conduct by Respondent.

Even assuming, however, that Claimants could demonstrate that Respondent unreasonably altered documents, or unreasonably overcharged Claimants, or unreasonably coerced Claimants by means of the insurance policy, Claimants' Section 41102(c) claim would still fail. Claimants would need to demonstrate that Respondent engaged in a "practice" of altering documents unreasonably, or overcharging or coercing others in Claimants' position. (*Tereno SDN BHD v. C.H. Robinson International, Inc.*, Dkt. No. 1972(I), 4 F.M.C.2d 30, 39, 2022 WL 3093188 (SCO Jan. 27, 2022) ("*Tereno I*") (*aff'd* 4 F.M.C.2d 45, 2022 WL 3093190 (FMC Mar. 22, 2022) ("Even if Claimant were able to prove its allegations against Respondent, the most that could be said is that on one occasion Respondent [acted unreasonably.]").

The late fee penalty in the invoice appears to be a standard invoice provision. In which case, were Claimants able to show that the late fee provision was unreasonable, they would also be able to show that it was a practice. (*See, e.g., TCW, Inc. v. Evergreen Shipping Agency*, Dkt. No. 1966(I), 2022 WL 18068977, at *4-*5 (FMC Dec. 29, 2022) (*vacated and remanded on other grounds sub nom. Evergreen Shipping Agency v. Fed. Mar. Comm'n*, 106 F.4th 1113 (D.C. Cir. 2024)) (finding that a practice existed where a late charge was imposed pursuant to a contractual provision). Having said as much, as noted, the fifth element of a Section 41102(c) claim is that the unjust or unreasonable practice needs to cause harm, and it is unclear if the late fee provision caused Claimants any harm as Claimants paid timely.

Accordingly, I find that Claimants' Section 41102(c) claim fails.

iii. Section 41104(a)(4)

Section 41104(a)(4) of the Shipping Act provides that: "a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of –"

- (A) rates or charges;
- (B) cargo classifications;
- (C) cargo space accommodations or other facilities, with due regard being given to the proper loading of the vessel and the available tonnage;
- (D) loading and landing of freight; or
- (E) adjustment and settlement of claims.

Claimants cite Section 41104(a)(4) to argue that because no CBP examination occurred, Respondent engaged in false billing. (*See* RFI Response, at 6-7). This argument is not persuasive. As discussed above, I find Claimants do not carry their burden of showing that a CBP inspection did not happen. Even if Claimants could show a CBP inspection did not happen, at most Claimants show it was a one-time act. (*Tereno I*, 4 F.M.C.2d at 39). Like Section 41102(c), Section 41104(a)(4) requires a "practice." (*See Interpretive Rule, Shipping Act of 1984*, 84 FED. REG. 45367, 45371 (citing *Atlantic Cleaners & Dryers, Inc. v. United States*, 286 U.S. 427 (1932)) ("[T]here is a natural presumption that identical words used in different parts of the same Act are intended to have the same meaning.")). Therefore, this claim fails.

iv. Section 41104(a)(13)

Claimants rely on Section 41104(a)(13), which provides: “a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not:

continue to participate simultaneously in a rate discussion agreement and an agreement to share vessels, in the same trade, if the interplay of the authorities exercised by the specified agreements is likely, by a reduction in competition, to produce an unreasonable reduction in transportation services or an unreasonable increase in transportation cost.

This provision does not apply to the facts of this case. This case involves a dispute regarding the shipment of cargo; there is no discussion of sharing vessels or rate agreements.

Putting aside the fact that Section 41104(a)(13) is inapplicable here, Claimants apparently cite Section 41104(a)(13) to argue that Respondent unreasonably refused to deal by demanding payment via email dated December 24, 2025, but not providing invoices. (RFI Response, at 15). Once again, Claimants’ argument is premised on Claimants’ assertion that the CBP exam did not happen. As discussed, Claimants do not carry their burden of demonstrating their assertion, thus this claim fails.

v. Section 41104(a)(3)

Claimants seek relief under Section 41104(a)(3). This section was amended by OSRA, and currently provides: “a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not: unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods.” (46 U.S.C. § 41104(a)(3)). By regulation, the Commission specified that for purposes of making a claim under the post-OSRA version of Section 41104(a)(3), the respondent must be an ocean common carrier. (46 C.F.R. § 542.1(c)(1)). An ocean common carrier is a common carrier that operates a vessel. (46 C.F.R. § 40102(18)). Although I found previously that Respondent operated as an NVOCC for purposes of the transportation at issue, it did not operate the vessel at issue; the vessel was operated by Yang Ming. (FOF, ¶ 53). Therefore, Respondent was not an ocean common carrier, and, per the Commission’s regulation, Claimants’ claim under the post-OSRA version of Section 41104(a)(3) fails.

Claimants, however, apparently rely on the pre-OSRA version of Section 41104(a)(3). The pre-OSRA version of Section 41104(a)(3) provided: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not—. . . (3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipped has patronized another carrier, or has file a complaint, or for any other reason.” The anti-retaliation provision was moved to Section 41102(d), and has been revised by OSRA. It provides:

(d) Retaliation and Other Discriminatory Actions. -A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not--

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for--

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has--

(i) patronized another carrier; or

(ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

(46 U.S.C. § 41102(d)). Based on these provisions, Claimants argue that Respondent attempted to retaliate by violating my order to the parties that they are not to submit additional information unless and until specifically requested by the Small Claims Officer. (RFI Response, at 8; *see also* RFI, at 3). After I issued my RFI, Respondent sent the April 28 Email, stating that Respondent assumed that this matter was concluded because the delivery was about to be completed, and because Claimants paid their remaining fees. (RFI Response, at 8; *see also* April 28 Email).

There are four elements of a claim under Section 41102(d): respondent is a common carrier; claimant is in a protected class; claimant engaged in protected activity; and respondent engaged in prohibited conduct because of the protected activity. (*OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co.*, Docket No. 21-11, 6 F.M.C.2d 165, 2023 WL 3969857, at *33 (ALJ June 7, 2023) (*aff'd*, 2024 WL 4034610 (FMC Aug. 27, 2024)). The first three elements are met here. The first element is common carrier. I noted above that Respondent is a licensed NVOCC, and acted as an NVOCC in this case. The second element is that Claimants fall into a protected class, including being a shipper. Claimants here are the shippers as they are the cargo owners. (*See* 46 U.S.C. § 40102(23)(A)). The third element of section 41102(d) is that the claimant must have engaged in a protected activity. The Claimants here filed a Claim against Respondent, who is an NVOCC, so this element is met.

The final element of a claim of retaliation that the respondent engaged in prohibited conduct because of the protected activity. The statute prohibits retaliating against a shipper by “refusing, or threatening to refuse, an otherwise-available cargo space accommodation” or “resort to any other unfair or unjustly discriminatory action. . . .” (46 U.S.C. § 41102(d)(1) & (2)). The Commission discussed this language in its *Statement of the Commission on Retaliation*, Docket No. 21-15, 3 F.M.C.2d 201, 207, 2021 WL 9204128, at *4 (FMC Dec 28, 2021):

The “other unfair or unjustly discriminatory” language is a “catchall clause by which Congress meant to prohibit other devices not specifically enumerated but similar in purpose and effect to those barred by § 14 First, Second, and the ‘retaliate’ clause of § 14 Third.” The Court in *Isbrandtsen* held that only conduct “designed to stifle outside competition” fell within this catchall. But it is not hard to envision situations where a carrier might engage in retaliatory conduct that has

nothing to do with competition with other carriers. A carrier might engage in conduct detrimental to a shipper (*e.g.*, refusing to enter into, renew, or amend a service contract) to “get even” with or deter that shipper and other shippers from complaining to the Commission. Under a broad reading of *Isbrandtsen*, this type of carrier conduct would not violate § 41104(a)(3) because it would not involve conduct designed to stifle outside competition.

While the Commission is bound by *Isbrandtsen*, the Commission does not believe it requires such a result and interprets it as not applying where a retaliation claim is based on complaint-related activity (filing a complaint, participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or bringing a dispute to CADRS). *Isbrandtsen* did not involve allegations that a carrier retaliated against a shipper because it “filed a complaint charging unfair treatment.” Rather, at issue was a dual rate contract system designed to protect a conference from an independent carrier. Consequently, the Court had no reason to address, and did not purport to address, the language in the statute that protects shippers who file a complaint. Further, the Court deemed the purpose of section 14 Third was to outlaw practices used to stifle the competition of independent carriers but did not discuss the portions of the Alexander Report that referred to protecting complaining shippers.

(*Statement*, 2021 WL 9204128, at *5).

The statute identifies refusing or threatening to refuse an otherwise-available cargo space accommodation as a prohibited type of conduct. (46 U.S.C. § 41102(d)(1)). Here, there are no allegations of refusing cargo space accommodations. The statute also references unjustly discriminatory conduct. (46 U.S.C. § 41102(d)(2)). There are no allegations of discriminatory conduct. Therefore, Claimant would need to demonstrate that Respondent acted “unfair[ly].”

It was inappropriate and unprofessional for Respondent’s employee to send the April 28 Email with information, especially immediately after I ordered the parties to not do so. OALJ responded via an email making clear that the information provided via the April 28 Email will be disregarded. Having said as much, it is unclear that Respondent’s conduct would be “unfair” for purposes of Section 41102(d). I have found no authority, and Claimants have directed me to none, holding that sending an email to OALJ in violation of an Order would be “unfair” for purposes of the Shipping Act, especially when lesser remedies are available – such as simply disregarding the email. When considering the purposes of the Shipping Act, it does not appear that an inappropriate email to OALJ would be an “unfair” act. The Shipping Act is aimed at regulating commercial behavior. Its purposes are to establish a nondiscriminatory regulatory process for common carriage of goods by water with minimal government intervention, to ensure efficient transportation, to encourage the development of vessels for the United States, and to promote United States exports. (*See* 46 U.S.C. § 40101). For example, the Commission suggests that refusing to renew or to amend a shipping contract would be unfair. (*Statement*, 2021 WL 9204128, at *5). Therefore, I find that an inappropriate email to OALJ sent during the course of a proceeding, without more, does not constitute an “unfair” act for purposes of 46 U.S.C. § 41102(d)(2). Accordingly, this element is not met, and Claimants’ retaliation claim fails.

vi. Section 41104(a)(1)

Claimants next rely on Section 41104(a)(1), which provides that: “a common carrier, either alone or in conjunction with any other person, directly or indirectly,” shall not “allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means.” (46 U.S.C. § 41104(a)(1)). There is no allegation that Respondent allowed Claimants, or anyone else, to obtain transportation of property for less than the rates established by a tariff or service contract – to the contrary, the allegation is that Respondent charged too much. (*See Durkart v. Ocean Star Int’l, Inc. d/b/a Int’l Van Lines*, Dkt. No. 20-03, 2 F.M.C. 2d 118, 133, 2020 WL 3994385, at *15 (ALJ Jul. 10, 2020) (notice not to review, 2 F.M.C.2d 165 (August 11, 2020)) (“The Complaint does not indicate how Respondent allowed any person to obtain ocean transportation at less than the applicable tariff rates, such that the prohibitions under 41104(a)(1) apply. . . .”). Therefore, Section 41104(a)(1) appears to be inapplicable.

Claimants assert a claim under Section 41104(a)(1) that Respondent “Fail[ed] to Establish Reasonable Regulations” due to a lack of volume verification procedures, no documentary retention, and no quality control. (RFI Response, at 8). The duty of a carrier to establish just and reasonable regulations and practices in relation to the transportation of cargo is established under Section 41102(c) of the Shipping Act, and Claimants’ Section 41102(c) claim is discussed above.

vii. Section 41102(b)(1)

Claimants point to Section 41102(b)(1), which states: “A person may not operate under an agreement required to be filed under section 40302 or 40305 of this title if – the agreement has not become effective under section 40304 of this title or has been rejected, disapproved, or canceled[.]” There is no allegation in the Claim or RFI Response about any agreements required to be filed under the Shipping Act, therefore this provision appears to not apply.

Claimants state that Section 41102(b)(1) prohibits discriminatory methods, including Respondent’s alleged insurance threat and targeting Claimants for disputing charges. (RFI Response, at 8). The general anti-discrimination provision involving common carriers is Section 41104(a)(4), which is discussed above.

viii. Alleged Lack of Candor

Claimants assert that repeatedly that the CBP examination did not occur. Consistent with that theory, Claimants assert that Respondent altered copies of the master bill of lading to trick Claimants into thinking that the CBP exam occurred (when, according to Claimants, it did not). (RFI Response, at 9, 123-24). Along similar lines, Claimants assert that the record lacks evidence that would demonstrate that the CBP exam occurred. (RFI Response, at 9).

Unfortunately, Claimants’ argument is not convincing because Claimants’ own evidence undermines their assertions. For example, Claimants assert that there was no movement of an airtag that they had placed in their cargo from December 7, 2025, through January 22, 2026. (RFI Response, at 9). Claimants assert that this lack of movement by the airtag shows that the

container was not actually transported to the Los Angeles terminal on or about December 22, 2025. (See RFI Response, at 85). Claimants also argue that the carrier's "official log" showing the transportation of the cargo shows that the cargo was not subject to inspection. (RFI Response, at 83; *see also* FOF, ¶ 59).

Claimants' RFI Response contains a screenshot, apparently from Yang Ming, showing the container's status. Claimants call this the "official log." (RFI Response, at 83). The screenshot shows that on December 22, 2025, the cargo was received at the Los Angeles terminal. (FOF, ¶ 59). In other words, Claimants' own evidence shows that the container was transported to the Los Angeles terminal on December 22, 2025 – thereby undercutting numerous pages of argument by Claimants, and several emails by Claimants related to their airtag.

Moreover, the screenshot/"official log" described in the previous paragraph is consistent with other evidence that Claimants introduced. Claimants' Claim includes an email exchange between one of Respondent's employees and a trucker that discusses transporting the container to the Los Angeles port on December 22, 2025. (FOF, at ¶¶ 19, 24, and 26). Once again, Claimants' own evidence shows that the container was moved to the Los Angeles terminal on December 22, 2025.

In short, Claimants fail to demonstrate that Respondent lacked candor surrounding the CBP inspection because much of Claimants' argument is premised on evidence from its airtag, which Claimants' own evidence contradicts.

ix. Administrative Subpoenas

Claimants ask that I issue administrative subpoenas. (RFI Response, at 11-13). In general, the Commission's Rules allow a party to tender a proposed subpoena to the Office of Administrative Law Judges, and an ALJ may review the proposed subpoena, require changes, and/or sign the subpoena. (46 C.F.R. § 502.131). This rule, however, does not apply to small claims cases. (46 C.F.R. § 502.305(a)). Even if Commission Rule 131 did apply, Claimants did not tender a proposed subpoena to OALJ. Therefore, no subpoenas will be issued.

V. CONCLUSION

For the reasons discussed above, it is **HEREBY ORDERED** that Claimants' Claim is **GRANTED** to the extent that Claimants argue that Respondent violated 46 U.S.C. § 41104(a)(15) by issuing the IVL Invoice without the information required in 46 U.S.C. § 41104(d). It is

FURTHER ORDERED that, by operation of 46 U.S.C. § 41104(f), Claimants' liability for the IVL Invoice is eliminated in the amount of \$1,398.20, which represents the demurrage portion of the IVL Invoice. It is

FURTHER ORDERED that Claimants are entitled to reparations in the amount of \$1,398.20, plus interest pursuant to 46 U.S.C. § 41305(a) from March 16, 2026. It is

FURTHER ORDERED that Claimants have not carried their burden of demonstrating that Respondent violated any of the other provisions of the Shipping Act that Claimants allege.

Therefore, Claimant's Claim is **DENIED** other than to its Claim under Section 41104(a)(15). It is

FURTHER ORDERED that this matter is **DISCONTINUED**.

SO ORDERED

Richard C. Ambrow Jr -S

Richard Ambrow
Small Claims Officer